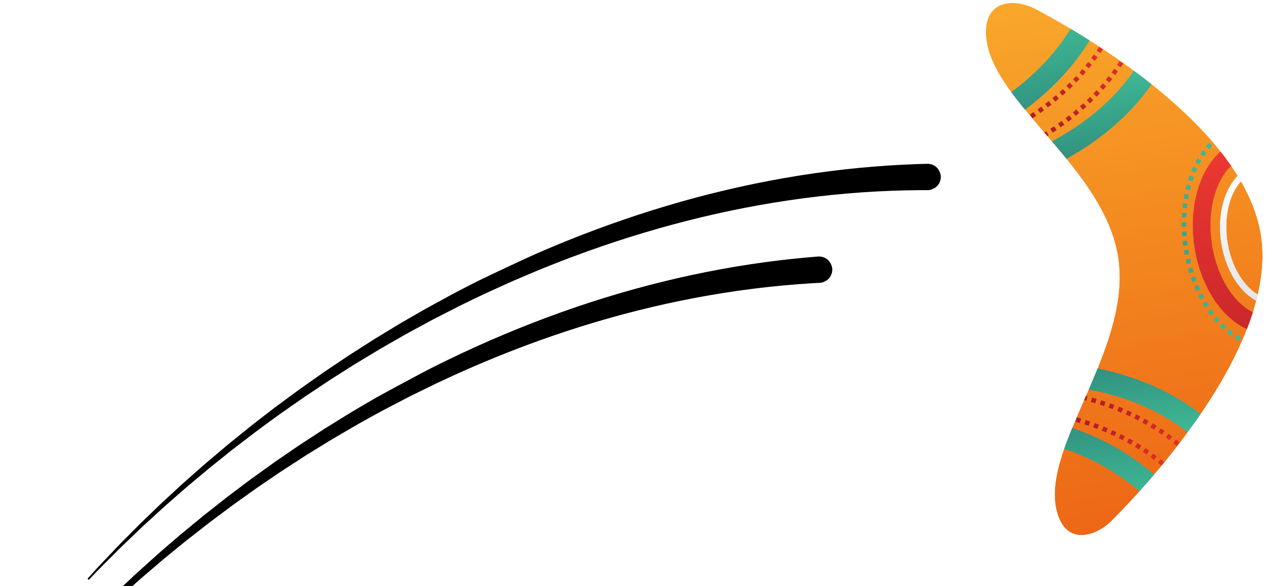

WHAT DOES IT INDICATE?

Engulfing candlesticks are a signal for a strong reversal in trend. This means, in the case of an engulfing bull, the pre-existing trend is bearish. However, when an engulfing bull candle appears, it implies that the bulls have made a strong comeback and as a result, have not only reversed the bear candlestick but also taken control over the market. There is a good chance that the bulls will strengthen their grip on the market going ahead.

Similarly, with an engulfing bear, the bears have taken control back from the bulls and strengthened the same. As a result, we can expect them to continue their control.

HOW TO USE ?

Engulfing candlesticks can be used to initiate new trades. We go long, following a bullish engulfing candle and short, following a bearish engulfing candle. We expect the trend to reverse following these candlestick patterns and thus, we will initiate this trade. At times, the trend will not reverse and we will have to settle for losses, but otherwise, we will be able to book profits. This will be taken care of when we talk about a systematic approach to trading.